

seller, even if they're selling the home without an agent. You definitely need a neutral third party to hold on to that check in case there is a dispute.

Loan Limitations

This is where you say which type of loan product you will be using (conventional, FHA, VA, etc.). Make sure you check all the boxes that apply. If your lender can get you a better loan using a different product but you didn't check that box, you'll have to ask the seller for an amendment to the contract to allow you to pursue that loan product. The seller doesn't have to grant the request either, so it's best to include all the loans you could possibly use at the beginning of the process.

Appraisal Provisions

A third-party professional will perform an appraisal to make sure the home's value and purchase price aren't miles apart. The appraiser will look at comparable properties that have sold recently—the same properties we told you to look at with your agent to determine a purchase price—and use those comps to determine the home's value.

Your contract will likely contain an Appraisal Provisions section, which outlines the appraisal process, who pays for it, and what happens in the event that an appraisal comes in under value. For example, if a buyer offers \$410,000 on a home that appraises for \$400,000, there are three options: The seller can agree to reduce the price, the buyer can bring the excess \$10,000 to the table so the loan amount does not exceed the home's value, or the buyer can back out of the purchase entirely. They should be able to back out and still keep their earnest money if this has been specified in the contract.

Cue the sad trombone. Sometimes a home purchase just doesn't work out.

In the current super-hot market that much of the country is experiencing, some agents are recommending that buyers cover the appraisal gap—meaning the buyer would bring money to the closing table to cover the difference between purchase price and appraisal price. We don't always recommend this strategy, because you're starting off homeownership with negative equity. You'll need to see appreciation in order to break even, which is not a great way to begin.